

INDIAN ECONOMY

LEVEL
II



LECTURES

AN OVERVIEW ABOUT THE OILSEEDS
PRODUCTION IN INDIA - Part I

MODULE - 65



MINIMUM SUPPORT PRICE

SEVEN OILSEEDS

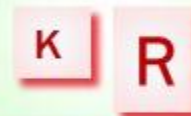
TWO IN KHARIF/RABI



GROUNDNUT



SUNFLOWER



THREE EXCLUSIVE KHARIF

SOYBEAN



SESAMUM



NIGER SEED



TWO EXCLUSIVE RABI

RAPESEED/MUSTARD

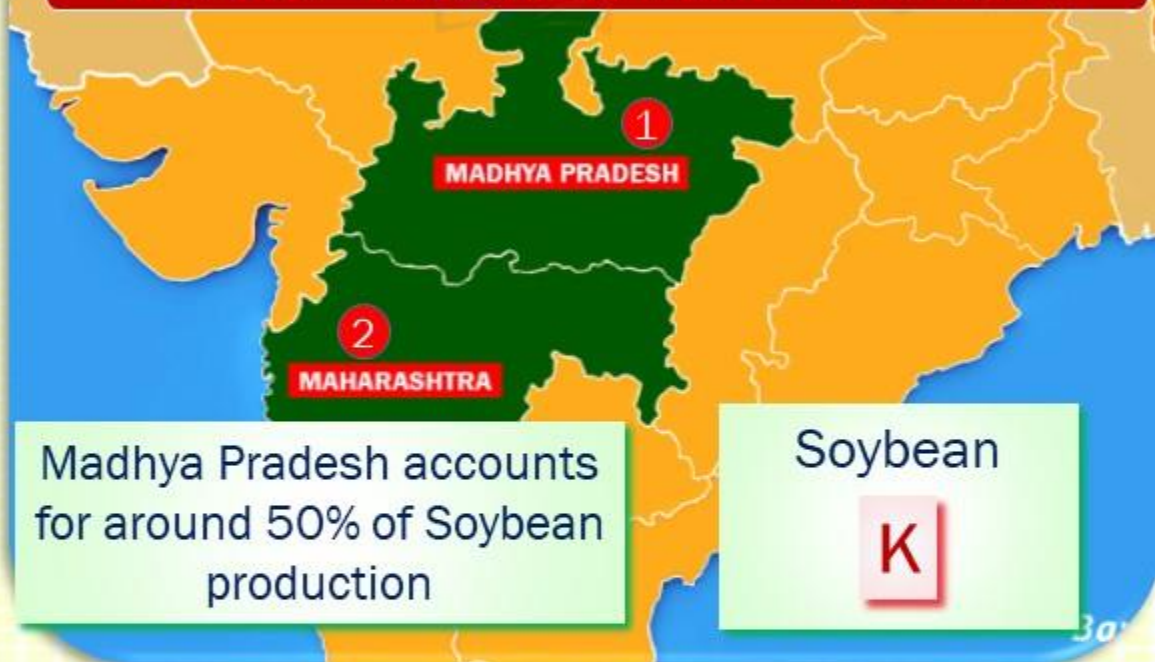


SAFFLOWER



MAJOR OILSEEDS

SOYBEAN – PROMINENT PRODUCING STATES



GROUNDNUT – PROMINENT PRODUCING STATES



**AVG. PRODUCTIVITY –
KG/HA**

India – 1,192
World – 2,791

Madhya Pradesh and Maharashtra account for more than 80% of the Soybean output.



**AVG. PRODUCTIVITY –
KG/HA**

India – 1,422
World – 1,611

MAJOR OILSEEDS

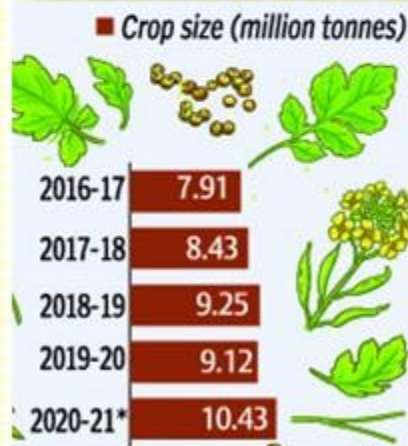
RAPESEED & MUSTARD – PROMINENT PRODUCING STATES



Rapeseed & Mustard

R

Rajasthan accounts for more than 40% of production



AVG. PRODUCTIVITY – KG/HA

India – 1,200 – 1,500
World – More than 2,000

TOTAL OILSEEDS – PROMINENT PRODUCING STATES



Madhya Pradesh and Rajasthan accounts for around 50% of total oilseeds production.



CAGR OF PRODUCTION IS NOT IN TUNE WITH THE DEMAND!

CAGR OF OILSEEDS PRODUCTION IS 1.94% IN INDIA ...

- The Compound Annual Growth Rate (CAGR) of oilseeds production in India has remained at 1.94 per cent between 2011-12 and 2020-21.
- However, global production witnessed a CAGR of 2.9 per cent in the same period.

India accounts for around 36 - 37 million tonnes of oil seeds, out of the total global production of around 607 million tonnes.



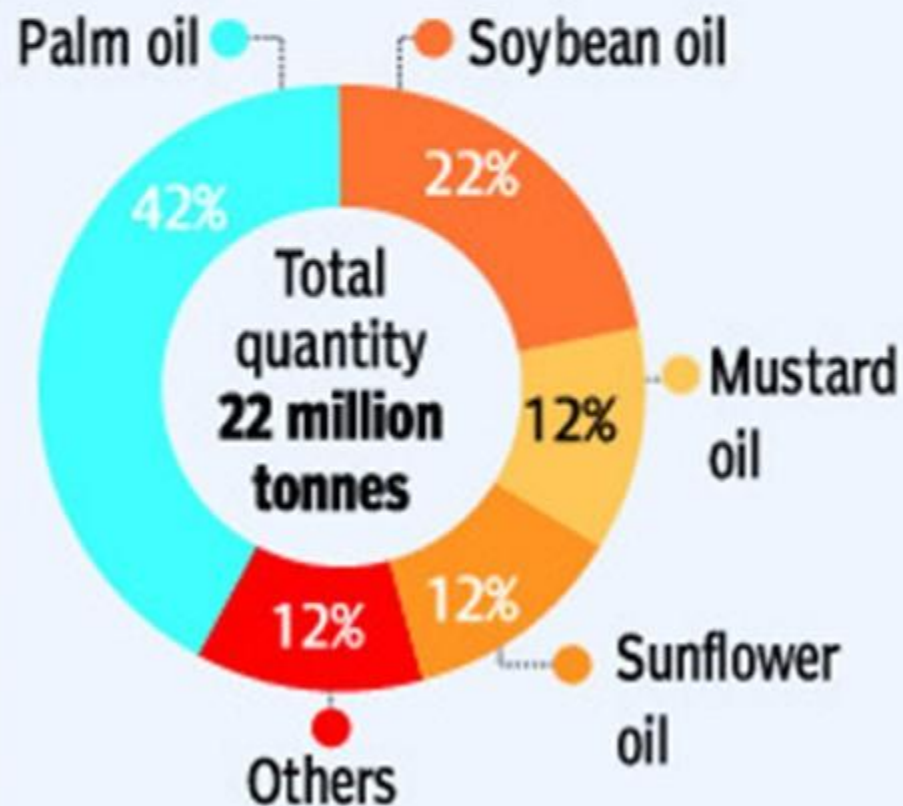
... BUT, THE ANNUAL CAGR OF CONSUMPTION IS AROUND 5%!

- India's per capita income (at constant price) has increased at a CAGR of around 4.5 per cent per annum during the previous decade. It was Rs. 63,462 in 2011-12, which increased to Rs. 94,270 in 2019-20.
- The edible oil consumption increased at the rate of around 5% from 16.20 kg per annum in 2013-14 to 19.50 kg per annum in 2017-18.



IN CONSUMPTION, PALM OIL LEADS!

India's total edible oil consumption



SALIENT POINTS ABOUT OILSEEDS AND VEGETABLE OIL PRODUCTION IN INDIA

- Soybean leads in oilseeds, whereas mustard leads in vegetable oil.
- Soybean (34%), groundnut (27%), rapeseed & mustard (27%) contribute to more than 88% of total oilseeds production and more than 80% of vegetable oil with major share of mustard (35%), soybean (23%) and groundnut (25%).
- Soybean and groundnut are legume crops and fix nitrogen.
- All three crops not only provide edible oils but also are an excellent source of protein rich seeds or seed meal for livestock and poultry.

VEGETABLE OIL ... IMPORT BILL REACHED \$19 BILLION!

- Imports increased enormously in recent years and are in the range of 13 to 15 million tonnes.
- Vegetable oil is the largest agricultural commodity imported, with a value of around \$19 billion during 2021-22.
- Malaysia and Indonesia account for majority of the imports.
- Palm oil is the largest commodity imported. About 55-60% of the import bill is palm oil, 20- 25% soybean and 12-15% sunflower.

PALM OIL ... LARGEST IMPORTED VEGETABLE OIL

- In India, the consumption of Palm oil is around 9 - 10 Million tonnes. More than 90% is imported as the domestic production is abysmally low.
- Around 90% of Palm oil is used as cooking oil, whereas, around 10% is used for various cosmetic purposes.
- Palm produces more oil per land area than any other equivalent vegetable oil crop.



Malaysia and Indonesia are the major exporting countries of palm oil to India.

SEE THE PRESENT SCENARIO (2021-22) OF VEGETABLE OIL IN INDIA!

TOTAL DOMESTIC PRODUCTION

Production, import & consumption of edible oils in last 5 years *(in lakh tonnes)*

Source	2017-18	2018-19	2019-20	2020-21	2021-22
Annual oilseeds	73.6	74.3	79.2	84.7	90.9
Domestic production					
Oil palm	2.2	2.7	2.8	2.8	2.7
Coconut	6.0	5.9	6.0	6.0	6.0
TBOs & SEO	5.0	4.8	5.0	5.0	5.0
Rice bran	10.7	10.7	10.7	10.7	10.9
Cotton seed	12.6	11.2	12.7	12.2	10.9
Total domestic oil	110.1	109.5	116.3	121.3	126.4



PALM OIL LEADS IN IMPORTED VEGETABLE OIL ... HOWEVER, ITS SHARE IS DECLINING!

Imported

Palm oil	95.2	89.3	85.8	74.9	80.5
Soybean	31.5	31.8	33.1	36.4	38.9
Sunflower	22.4	25.8	25.0	21.8	20.7
Other oil	0.5	0.3	0.1	0.4	0.6
Total imported oil	154.0	150.0	144.6	133.5	140.7
Total oil consumed	264.1	259.5	260.9	254.8	267.1



TWISTS AND TURNS IN THE JOURNEY OF OIL SEEDS PRODUCTION AND IMPORTS!

WE WERE SELF-SUFFICIENT TILL 1960s!



- Until the mid-1960s, we were self-sufficient. Availability of edible oil was largely sufficient to meet India's domestic consumption demand.
- In the 1970s and 1980s, due to shortfall in oilseeds output and also due to growing demand for edible oils, Indian edible oil imports surged. They increased from a meagre 2% in 1960s to 10% in 1970s and 26% in 1980s.

With the increase in irrigation potential, farmers shifted to crops like rice and wheat.

TWISTS AND TURNS IN THE JOURNEY OF OIL SEEDS PRODUCTION AND IMPORTS!

YELLOW REVOLUTION OF 1980s!

- Supply of high yielding oilseed cultivars.
- Extension services and subsidized inputs.
- Offering minimum support prices.
- Import controls via canalization (imports through specific methods or through specified agencies).
- Promotion of oil palm cultivation.

WHAT WAS THE OUTCOME OF YELLOW REVOLUTION?

- Between 1985 and 1994, the growth rate of area, production and yield of oilseeds increased significantly.
- The proportion of imported edible oils in total edible oil availability declined from 26% in 1985 to 2% in 1993, thereby making India almost self-sufficient in edible oil production.



TWISTS AND TURNS IN THE JOURNEY OF OIL SEEDS PRODUCTION AND IMPORTS!

WHAT WENT WRONG SUBSEQUENT TO 1990s?

- In response to economic liberalisation and World Trade Organization commitments since 1990s, India gradually liberalized edible oil imports.
- This resulted in significant increase in the import of edible oils.
- Faced with cheap imports, farmers reduced the area under oilseeds cultivation which, in turn, caused a dent in edible oils production.

- The MSP system for oilseeds became ineffective due to inadequacy of MSP in relation to the cost of production and lower procurement by Government agencies.
- This discouraged oilseed cultivation.



WHAT ARE THE PROBLEMS BEING FACED BY OILSEED GROWERS AT PRESENT?



- Poor access to quality inputs and organised markets.
- High input costs.
- Inadequate storage infrastructure and irrigation facilities.
- Price inadequacy and uncertainty.
- Poor extension services.

For improving productivity and production of oilseeds, these problems need to be addressed.

WHAT NEEDS TO BE DONE TO SEE THE TURNAROUND LIKE PULSES IN OILSEEDS?

6 We should improve extraction efficiency of oilseeds.

5 The marketability of the crop is weak - in the absence of an effective price support mechanism. This needs to be given a serious thought.

FOCUSED
APPROACH
CAN MAKE THE
TURNAROUND!

1 Increase R&D expenditure in oilseeds.

2 Do not restrict oilseed cultivation only to the rain-fed areas.

3 Remove the mis-conception from the minds of the farmers that oilseeds are for the areas where no other crop grows.

4 Give incentives to improve agronomic practices.



WHAT NEEDS TO BE DONE TO SEE THE TURNAROUND LIKE PULSES IN OILSEEDS?

10 India has tremendous potential to produce **Rice Bran Oil (RBO)**, which is scientifically proved to be a **healthy oil**. Lack of awareness about the health benefits of RBO among Indian households is the real problem.

9 The **weaker sections** should have **access to cooking oil** at **affordable price**. This is possible by including **edible oil** under the Public Distribution System (**PDS**).

FOCUSED
APPROACH CAN
MAKE THE
TURNAROUND!



7 There must be a **ceiling** on the volume of **edible oil imports**, as several times, importers resort to more than required imports because of **easy credit terms**. Due to such excessive imports, the **domestic oilseed prices** are quite often depressed..

8 Import duties should be **varied dynamically** so that imported oils are **not cheaper** than domestic oils calculated on the basis of **MSP** for oilseeds.

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